

**BAKER
HUGHES**

Rpt Date 02/Aug/2006			Well Name/No Bilabri D 2			Section Name/No 17-1/2" Section #3			Mud System AQUA-DRILL									
Job# 1		Spud Date 05/Jul/2006			MD 1248.00 m			Progress 96.00 m			Present Activity Circulate							
Operator Peak Petroleum Indust. Limited			Company Rep Robert Montgomery/Chris Newton			Contractor Dolphin Drilling Ltd			Contractor Rep Paul Sheppard/Nolan Troy									
Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria			Area Offshore			Country/State Nigeria			Rig BULFORD DOLPHIN							
Drilling Assembly						Casing		Volumes	Pump Information									
Bit Gauge in		Mfr		Bit Model		OD in	ID in	Depth m	bbl	Model		Liner in	Stroke in	Eff %	Vol/Stk bbl	Stk Rate SPM	Circ Rate USgal/min	
17 1/2		Smith International		S35P			19 1/2	178.00	Total Hole	Continental Ensco FA-1600		7	12.00	94.0	0.1342	27	152	
Drill Collars			Drill Pipe			30	28	269.00	1275.5	Continental Ensco FA-1600		7	12.00	94.0	0.1342	0		
OD in	ID in	Length m	OD in	ID in	Length m	20	19.124	459.00	Active Pits	Continental Ensco FA-1600		7	12.00	94.0	0.1342	0		
9 7/16	3 1/8	8.82	5	4.276	189.64		17 1/2	1248.00	398									
9 1/2	2 7/8	8.64	5	3	167.00				Tot Active									
8	2 7/8	45.33							1673.5	Circulation Times								
8	2 7/8	9.17							In Storage	Surface to Bit		5.1 min/138stks		Total System		249.5 min/6737stks		
									943	Bottoms Up		134.6 min/3634stks						
Mud Properties						Max Ann Velocity			Hole Information									
Property		Fluid Spec	1	2	3	AV Riser		10.50 ft/min	Standpipe Pressure		100 psi		Water Depth				152.00 m	
Sample From			Active Pit	Flow Line	Active Pit	AV Casing		58.44 ft/min	Hole Flow		152 USgal/min		Riser Booster Rate				USgal/min	
Check Time			06:00	18:30	22:30	AV Open Hole		0.00 ft/min	Solids Analysis									
MD m			1248.00	1248.00	1248.00	Vc Open Hole		280.13 ft/min	Property		1	2	3	4				
TVD m			1248.00	1248.00	1248.00	Vc Drill Pipe		250.24 ft/min	LGS %		3.77	3.06	2.28					
Bit Depth m			1248.00	460.00	460.00	Min Ann Velocity		LGS lb/bbl		34.33	27.85	20.75						
Inc deg				1.16	1.16	AV Riser		10.50 ft/min	HGS %		0.00	0.00	0.00					
Density ppg			9.30	9.20	9.10	AV Casing		10.95 ft/min	HGS lb/bbl		0.00	0.00	0.00					
Funnel Visc. sec/quart			51.0	52.0	50.0	AV Open Hole		0.00 ft/min	Bentonite %		0.00	0.00	0.00					
Circ BHTdegF				100.0		Bit Information		Bentonite lb/bbl		0.00	0.00	0.00						
Flow Line Temp degF				90.0	90.0	Size		17 1/2 in	Drill Sol %		3.77	3.06	2.28					
Test Temp degF			85.0	80.0	80.0	Hours On Bit		Drill Sol lb/bbl		34.33	27.85	20.75						
Rheol Temp degF			110.0	110.0	110.0	Bit Number		2	Avg Dens Sol sg		3.0071	2.5833	2.7902					
PV cP			15	15	14	BHA Number		1	Rheology									
10 lbf/100ft^2			22	21	21	Depth In		459.00 m	600 RPM		52	51	49					
10sec Gel lbf/100ft^2			7	6	6	Bit RPM			300 RPM		37	36	35					
10min Gel lbf/100ft^2			8	8	8	WOB		klbf	200 RPM		27	28	25					
API Filtrate cc			5.2	5.6	5.4	Nozzles		28:3x22	100 RPM		21	19	19					
API Cake in/32			2.0	2.0	2.0	Bit Hydraulics		6 RPM		7	6	6						
pH			9	8.8	9	TFA		1.7150 in^2	3 RPM		5	5	5					
Pm			0.3	0.2	0.2	Nozzle Vel		28.5 ft/sec										
PF			0.1	0.1	0.1	Bit Press Loss		7 psi										
MF			0.5	0.3	0.4	HHP / Area		0.00 HP/in^2	Hydraulic Analysis									
Excess Lime lb/bbl			0.1	0.0	0.0	HHP		11.8 %	Behavior Index (n)				0.381					
Hardness mg/l			420.0	380.0	360.0			Consistency Index (k)				2.868 #sec^n/100ft^2						
Chlorides mg/l			55000	54000	54000			ECD @ Bit Depth				9.13 ppg						
K mg/l			35125	34000	33864			ECD @ Casing Shoe				9.13 ppg						
NaCl mg/l			38378	38405	38608	Fluid Comments/ Recommendations												
KCl mg/l			66973	64828	64568	Had loss of returns @ 1248m. Prepared, pumped & spotted LCM pill (15 ppb Kwickseal-Medium, 15 ppb Calcium Carbonate-Medium & 5 ppb Soltex) on btm. POOH to shoe while making new mud to replenish volume. Prepared additional 75 bbls LCM pill in slug pit. Changed out shaker screens from 110s to 175s & ran centrifuge to cut down MW (from shoe) from 9.3 to 9.1ppg while circ slowly. Also changed screens on mud cleaner to 210s. KCl sack stock down to 280 sxs as at report time. Using sack KCl only for making fresh mud to meet volume demands in anticipation of supplies from town.												
MBT lb/bbl			12.5	12.5	11.5													
Retort Water %			94.0	94.0	95.0													
Sand %			0.85	0.75	0.50													
Retort Solids %			6.0	6.0	5.0													
Corrected Solids %			2.8	2.9	1.8													

ADVANTAGE Daily Drilling Fluids Report - 26



INTEQ

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Field/Lease Bilabri		Blk/Co/Parish OML - 122 / Nigeria		Area Offshore		Country/State Nigeria	
						Rig BULFORD DOLPHIN	

Solids Control Equipment							
Name	#	Mfr	Hours hours	Screen Sizes	Act Volume Lost bbl	Res Volume Lost bbl	Comments
CENTRIFUGE	1	SWACO	0.0		0.0	0.0	
CENTRIFUGE	2	SWACO	6.0		10.0	0.0	
DESANDER	1	SWACO	0.0		0.0	0.0	
DESILTER	1	SWACO	0.0		0.0	0.0	
MUD CLEANER	1	SWACO	0.0	3 x 210	40.0	0.0	
SHALE SHAKER	1	Brandt	0.0		0.0	0.0	
SHALE SHAKER	1	Derrick Equipments Co	24.0	3 x 175	40.0	0.0	
SHALE SHAKER	2	Brandt	0.0		0.0	0.0	
SHALE SHAKER	2	Derrick Equipments Co	24.0	3 x 175	40.0	0.0	
SHALE SHAKER	3	Derrick Equipments Co	24.0	3 x 175	40.0	0.0	
SHALE SHAKER	3	Brandt	0.0		0.0	0.0	
Total Volume Lost					170	0	

Volumes									
Additions bbl			Losses bbl			Total Volumes bbl			
Mud Added	Weight Materials		Downhole	300	Left In Pit	Starting Volume	2410.9	Riser w/o Pipe	213.3
Brine	Water	680	Cased Off		Trip Losses	Daily Additions	726	Casing w/o Pipe	329.9
Base Fluid	Product	46	Left In Hole		Injected	Daily Losses	520	Open Hole w/o Pipe	769.1
Recycled	Other		Discharged		Spill To Environment	Ending Volume	2616.9	String Displacement	36.8
			SCE	170	Onshore Disposal	Net Change	206.0	String Capacity	18.6
			Evaporation		Returned			Total Hole w/ Pipe	1275.5
			Other Losses	30				Total Active	1673.5
								Total Reserve	943.0

IADC Hours							
Drilling Formation		24	Circulate	0	Tripping	0	Drilling Formation

BHDF Fluids Rep		BHDF Rep Phone		Warehouse		Warehouse Phone		Coordinator		Daily Cost		Cumulative Cost		Inventory Value		Page 2
Waboso Peter/Ayo Okomayin		234-803-402-0440		Onne		234-84-462609		Lawson Ogaree		20318.92 USD		445399.14 USD		286668.83 USD		

Any opinion and/or recommendation, expressed orally or written herein, has been prepared carefully and may be used if the user so elects, however, no representative or warranty is made by ourselves or our agents as to the correctness or completeness, and no liability is assumed for any damages resulting from the use of same.

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Primary Currency USD				Secondary Currency				Totals USD				
Daily Product Cost		19418.92		Daily Product Cost		0.00		Primary Product		417049.14		
Daily Tax		0.00		Daily Tax		0.00		Secondary Product		0.00		
Debit/Credit		0.00		Debit/Credit		0.00		Primary Engineering		28350.00		
Daily Engineering Cost		900.00		Daily Engineering Cost				Secondary Engineering		0.00		
Total Daily Cost		20318.92		Total Daily Cost		0.00		Primary Total		445399.14		
Total Inventory Value		286668.83		Total Inventory Value		0.00		Secondary Total		0.00		
								Deck Load		357.41 UK ton		
Products and Services												
Product		Units	Start	Transferred In	Received	Returned	Lost	Daily Use	Final	Active Ending Concentrations lb/bbl	Reserve Ending Concentrations lb/bbl	
Bulk												
BARITE - Imported		1000 kg	258						258	4.35	2.18	
Water Based Product												
AQUA-COL D		55 USgal	14					1	13			
CALCIUM CHLORIDE (97%)		50 lb	2						2			
CAUSTIC SODA		25 kg	48						48	0.29	0.01	
CITRIC ACID MONOHYDRATE		25 kg	6						6			
DRISPAC LV		25 kg	91						91	0.34	0.43	
LD-8		55 USgal								0.14		
LIQUID NEWDRILL PLUS		5 USgal	22						22			
MIL-PAC R		25 kg	91					6	85	1.04	0.83	
MIL-PAC LV		25 kg	80					6	74	0.42	0.39	
NEW-DRILL PLUS		55 lb	137					22	115	1.49	1.57	
POTASSIUM CHLORIDE		25 kg	120		400			240	280	5.78	8.30	
POTASSIUM CHLORIDE BRINE		1 bbl	384						384	144.66	53.70	
PROTECTOMAGIC M		25 kg	73						73	0.13		
SODA ASH		25 kg	75					6	69	0.45	0.47	
XANTHANGUM D		25 kg	90					10	80	1.23	1.13	
XCIDE 102		55 USgal	1						1	0.13	0.06	
LCM												
CALCIUM CARBONATE - FINE		25 kg	40						40	1.11	0.06	
CALCIUM CARBONATE - MED		25 kg	100					40	60	0.72	1.41	
KWIKSEAL - MEDIUM		50 lb	80					40	40		1.28	
MIL-PLUG FINE		50 lb	84						84			
MIL-SEAL MEDIUM		50 lb	90						90			
SOLUFLAKE F		50 lb	78						78	0.02		
Other												
SOLTEX		25 kg	40					10	30	1.27	0.76	
BHDF Fluids Rep		BHDF Rep Phone		Warehouse	Warehouse Phone		Coordinator		Daily Cost	Cumulative Cost	Inventory Value	Page 3
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